

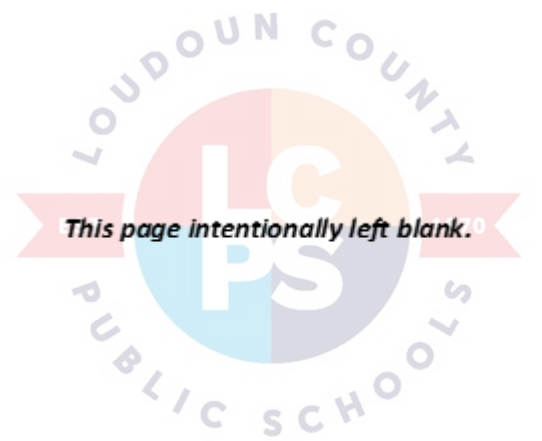
FY27

Adopted Budget

Executive Summary



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Prepared by Budget and Financial Analytics Division
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LOUDOUN COUNTY PUBLIC SCHOOLS

21000 Education Court
Ashburn, VA 20148

Dear Parents, Residents, and Community Partners,

The School Board's FY27 Adopted Budget is centered on investing both today and in the future, aligning with the One LCPS 2027 Strategic Plan for Excellence. The adopted FY27 School Operating Fund budget totals \$2,066,954,668 and supports 13,570.1 full-time positions. This reflects an increase of \$104,809,886, or 5.3 percent, including a projected \$105,000,000 increase in local funding from Loudoun County offset by a marginal net decrease in other funding streams.

State funding is projected to decline by \$3,342,774 based on the Governor's proposed 2026-2028 Biennium Budget. It is important to note that the Governor's proposals must still be considered and adopted by the Virginia General Assembly, which may make changes during their deliberations through the spring of 2026. Changes in state revenue projections will be brought to the School Board for consideration.

A summary of all budget funds is provided below:

	FY26 Adopted Budget		FY26 Revised	FY27 Adopted Budget		FY27 to FY26
	Budget	FTE	FTE	Budget	FTE	Adopted Diff
Operating Fund	1,962,144,782	13,470.5	13,465.9	2,066,954,668	13,570.1	5.3%
Grant Fund	32,844,591	224.2	227.6	34,467,146	192.6	4.9%
School Nutrition Fund	53,382,342	419.0	419.0	54,569,214	420.0	2.2%
Lease Purchase Fund	10,002,000	-	-	10,002,000	-	0.0%
Self-Insurance Fund	321,968,989	10.5	10.5	393,101,955	11.5	22.1%
Capital Improvement Projects Fund	81,760,000	20.0	20.0	71,170,000	20.0	-13.0%
Capital Asset Preservation Program Fund	48,000,000	-	-	53,130,000	-	10.7%
	2,510,102,705	14,144.2	14,143.0	2,683,394,983	14,214.2	

The FY27 Adopted Budget reflects changes across several key funds. The Grant Fund increases by \$1.6 million, primarily due to anticipated growth in federal grant funding for the division. The School Nutrition Fund increases by \$1.2 million based on salary and benefit cost increase as well as inflationary pressures on food and materials. Lastly, the Self Insurance Fund grows by \$71.1 million, largely due to higher utilization and rapidly rising medical costs, particularly for prescription drugs.

The Capital Improvement Projects (CIP) Fund and the Capital Asset Preservation Program (CAPP) Fund are described in greater detail in the School Board's adopted FY27–32 CIP and CAPP budgets.

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As we have often noted, Loudoun County benefits from the shared commitment of the School Board, the Board of Supervisors and our community to sustain a strong public education system. Our school community holds high expectations for educational excellence across a wide range of learning pathways, supported by comprehensive services designed to meet the needs of every student.

The estimated local tax transfer reflects a year-over-year increase of \$105 million, consistent with the County's budget guidance and mindful of the more limited fiscal conditions under which the County is operating. This Adopted Budget is both fiscally aligned and intentionally focused on the theme of continuing to invest today and in the future, while fulfilling the requirements of the Code of Virginia to estimate the funding necessary to support our public schools.

As noted earlier, the Governor's proposed budget results in a projected decline in state funding. While it does include additional funding from basic aid and state sales taxes for the first year of the biennium, these increases are more than offset by reductions due to lower enrollment, the shift from a 3% pay increase this year to 2% next year, and other rebenchmarking adjustments, such as changes to the local composite index that shift a larger share of funding responsibility from the state to the county.

As the general assembly now works on the budget, the school division will continue to monitor the state budget and its impact on LCPS.

Virginia has a constitutional responsibility to fund public education; however, a 2023 Joint Legislative Audit and Review Commission (JLARC) report highlights that the state's per-student funding for K–12 education remains below the national average, the regional average, and the funding levels of three of Virginia's five neighboring states. While investments in education continue to grow, these gaps mean that LCPS receives significantly less per student compared with many other states, resulting in substantial lost funding each year.

We appreciate the General Assembly's ongoing attention to the JLARC findings and have outlined the continuation of the JLARC study on education funding as a priority in our legislative program. Despite gaps in state funding, LCPS remains focused on its key priorities: supporting employee compensation and expanding opportunities for students. These investments align with the ONE LCPS Strategic Plan and reflect the School Board's discussions during budget workshops about what matters most to the division and the communities we serve.

Enrollment is a critical factor in budget planning, and LCPS is entering a period of declining enrollment. For FY27, enrollment is projected at 316 students fewer than this year's actual count, and CIP projections indicate continued declines each year through FY32. This trend underscores the importance of careful planning to ensure resources are aligned with student needs.

A frequent question is why the school budget continues to increase when student enrollment has slowed. As a reminder, about 90% of the increase in expenditures for FY27 are in personnel costs. As an example, for LCPS, providing a basic annual step increase alone costs roughly \$29 million. If employees then receive cost of living adjustments, our operating budget *will* increase, even with no new positions. In addition, there are typically increases in benefits costs as healthcare becomes more expensive, and there are other fixed costs that grow despite level or declining enrollment – things like fuel and utility costs that we do not control. This concept is important to understand as it directly relates to LCPS for FY27.

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With this context in mind, the Adopted Budget for the 2026–2027 school year reflects thoughtful investments that strengthen our schools today while preparing for the future.

Investing in our Empowered Students

The needs of our students continue to evolve, and while division wide enrollment is declining, the number of students requiring more resources continues to increase. For example, our English Learner population is projected to increase by 1.0% and our special education population by 3.4%. As a result, 50.6 additional teachers, teacher assistants, and other positions providing these specialized supports for students and specialized programs are included.

Of the total 13,570.1 positions in the school operating fund, 94.2% are working in the schools or directly with staff and students. These FTEs may be school-based or school-facing. School-facing positions are the employees who may not be assigned to a school, but routinely work in our schools. This Adopted Budget keeps additional staffing resources focused on students.

Expanded Academic Offerings and Access

The FY27 Adopted Budget prioritizes providing students with expanded academic opportunities and robust support to help them thrive. Expanded academic offerings and access include additional teachers and instructional coaches across grade levels, as well as continued support for Board-approved, specialized programs such as the Elementary Dual-Language Immersion program, the Academy of Global and Linguistic Studies, Career IB Program, and enhanced resources for the R.I.S.E. Academy. Students also benefit from new athletic programs, a new JROTC program, and more equitable access to fine arts and CTE courses through course fee eliminations.

Additional Student Supports

Student support is strengthened through targeted investments in mental and behavioral health services, threat assessment coordination, additional resources for English Language Learners and Special Education, and specialized support within the R.I.S.E. Academy. These investments ensure LCPS continues to provide all students with the opportunities and resources they need to succeed.

Additionally, meal prices will remain unchanged for next year after a series of meal price increases. To support the school nutrition fund, a transfer from the School Operating Fund is budgeted to help cover operational costs.

Investing in our Exemplary Staff

The One LCPS Strategic Plan identifies teachers, administrators, and staff as the most important contributors to student success in our schools, second only to families. This Adopted Budget reflects that priority through meaningful investments in employee salaries and benefits, consistent with the first LCPS collective bargaining agreement.

The operating budget provides the resources necessary to support the day-to-day operations of the school division while offering competitive salary and benefits packages for employees. Maintaining competitive compensation is essential to recruiting, retaining, and supporting a highly qualified and dedicated

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workforce. The collective bargaining agreement includes provisions for an annual step increase and top-of-scale payment, as well as a cost-of-living adjustment ranging from 4% to 5% depending on the employee group.

As health care costs continue to increase, the FY27 Adopted Budget also includes measures to strengthen the financial stability of the health self-insurance fund. These efforts combine cost-containment strategies with revenue enhancements, including a 20% increase in health insurance premiums shared by both employees and the employer.

Investing in our Enriched School System

The FY27 Adopted Budget includes focused investments to support the safe, efficient, and effective operation of our schools. These investments address division-wide needs while accounting for inflationary cost pressures.

Key priorities include enhancements to security staffing and technology, continued implementation of the new ERP system, and operational staffing needed to maintain continuity of services across schools and support departments. Together, these investments reinforce LCPS's commitment to safe, well-supported learning environments for students and staff.

Investing in our Engaged Community

The FY27 Adopted Budget includes investments that enhance communication, outreach, and engagement with families and the community. These resources support expanded language access, additional family liaison services, and tools to better connect with families. By strengthening partnerships between schools and the families they serve, these investments help ensure all students have the support they need while reinforcing LCPS's commitment to both responsive and proactive community engagement.

Delayed Investments

The FY27 Adopted Budget was developed to balance critical needs with projected resources, rather than as a full needs-based budget. As a result, some important priorities from Board members, staff, and other stakeholders cannot be fully funded this year. These items, which have previously been referred to as "unmet needs," can also be thought of as delayed investments – important initiatives that will be considered.

Examples of delayed investments include:

- Slower expansion of programs and initiatives
- Additional positions and staffing enhancements across departments to support students and staff
- Employee tuition assistance programs
- Delayed start of new programs
- Phased-in approach to remodeling the stipend framework across the division

Despite the funding obstacles outlined earlier, LCPS continues to thrive.

Here are just a few of many LCPS accomplishments over the last year:

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- The LCPS Class of 2025 graduated 6,932 seniors, with nearly 75% receiving an advanced diploma, almost 24% a standard diploma, and just over 1% an applied studies diploma. Almost 70% of graduates reported they will attend a four-year college, while over 17% will attend a two-year school, and 2% will enter military service. LCPS has a 97.2% on-time graduation rate.
- National Merit Scholarship winners included 18 LCPS students for the 2024-2025 school year. Five students won college-sponsored scholarships, eleven were named National Merit \$2,500 Scholarship winners, and two received corporate-sponsored National Merit Scholarships.
- Niche's Virginia rankings placed LCPS as the 4th Best School District and the 2nd Best School District for Athletes. Seven high schools are listed in the top 20 in the state, with Independence High School ranked as the #2 high school in Virginia.
- In collaboration with George Mason University and NOVA, LCPS launched the ACCESS Academy at Potomac Falls High School to provide dual-enrollment credits, IT certifications and real-world learning for students pursuing high-demand tech careers.
- LCPS expanded programming options that care for students' well-being and academic needs. For example, LCPS will support students in early recovery from substance use disorders with a recovery academy offering academic and therapeutic support.
- The division continues its focus on workforce development and future-ready education, focusing on key industries like cybersecurity, health innovation, and aerospace. LCPS also hosted a Workforce Summit, bringing together more than 250 community and business leaders.
- In partnership with the Loudoun Education Foundation and Amazon, LCPS launched four new Think Big Corners at elementary schools, bringing hands-on STEM learning directly to students.
- The Family and Community Engagement Office launched the LCPS Family Academy - a series of free virtual workshops to help families support academic success, understand school communications, and avoid the "summer melt."
- The division also hosted its first series of Student Success Talks in each district across the county, connecting families with LCPS leadership and providing tools for academic, social, and emotional student success.
- Watson Mountain Middle School opened its doors, becoming LCPS' 100th school, and honored its historical roots with a dedication ceremony that celebrated the legacy of the land and the community's future.
- To further open communication, the division developed a monthly video series called Think Fast, and launched the LCPS podcast. Both highlight stories and voices from across the division on education trends, programs, and student success.
- The ONE LCPS Celebration Day had schools and staff across the division celebrating community, culture, and collaboration with a day of fun-filled events and friendly competitions to honor the LCPS spirit.

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Thank you for taking the time to review the School Board's FY27 Adopted Budget. We believe this budget reflects our shared dedication to delivering an exceptional educational experience for every student. We sincerely appreciate the continued support of the Board of Supervisors, and the staff, families, and residents of Loudoun County as we invest together in our students, staff, and schools.

Sincerely,

April Chandler

Chair
Algonkian District

Deana Griffiths

Ashburn District

Anne Donohue

Vice Chair
At-Large Member

Ross Svenson

Broad Run District

Kari LaBell

Catoctin District

Jon Pepper

Dulles District

Lauren Shernoff

Leesburg District

Dr. Sumera Rashid

Little River District

Amy Riccardi

Sterling District

School Board Members



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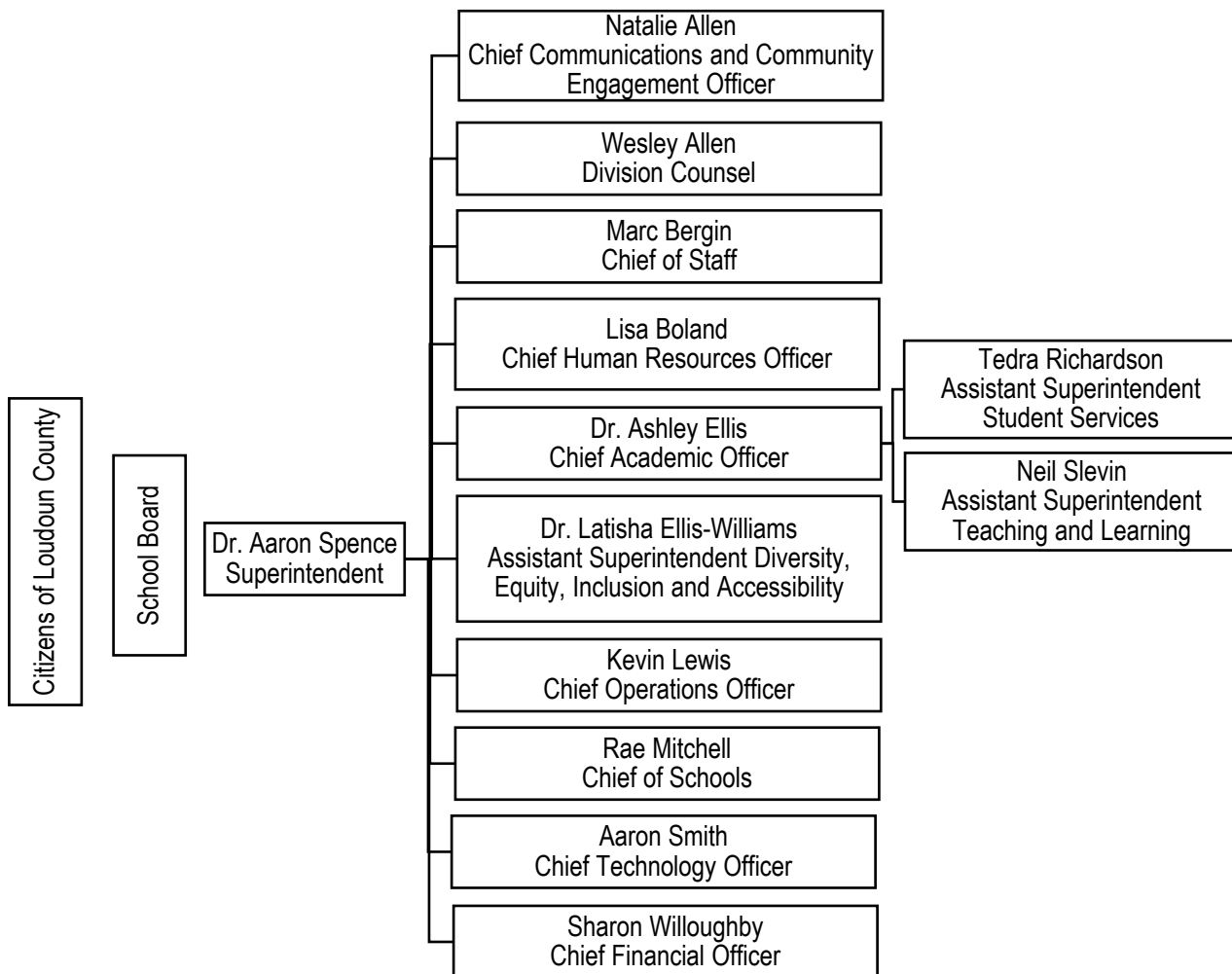
Sterling District

Loudoun County Public Schools Organization

Loudoun County Public Schools (LCPS) is organized to focus on empowering all 80,201 students to make meaningful contributions to the world, while managing 98 schools, five non-comprehensive schools and 15 support buildings. It is a rapidly growing, dynamic, well-managed and efficient organization.

Nine elected School Board members govern LCPS. The members are elected to four-year terms. One member represents each of the County's eight magisterial districts and there is one at-large member. The School Board is charged by Virginia law and the regulations of the Virginia Board of Education to establish policies, guidelines, and rules that will ensure the proper administration of the County's school programs.

The Superintendent works closely with twelve members of Cabinet to oversee the day-to-day operations of the schools and support services.



Loudoun County Public School Budget Awards



ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

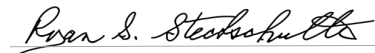
This Meritorious Budget Award is presented to:

LOUDOUN COUNTY
PUBLIC SCHOOLS

for excellence in the preparation and issuance of its budget
for the Fiscal Year 2025–2026.

The budget adheres to the principles and standards
of ASBO International's Meritorious Budget Award criteria.




Ryan S. Stechschulte
President


James M. Rowan, CAE, SFO
CEO/Executive Director

The Association of School Business Officials International Meritorious Budget Award program is designed to enable school business administration to achieve excellence in budget presentation. LCPS received the award for the FY26 budget. LCPS has received the Meritorious Budget Award for excellence in the preparation and issuance of its budget for twenty-six consecutive years.



GOVERNMENT FINANCE OFFICERS ASSOCIATION

*Distinguished Budget
Presentation Award*

PRESENTED TO

**Loudoun County Public Schools
Virginia**

For the Fiscal Year Beginning

July 01, 2025

Christopher P. Morill

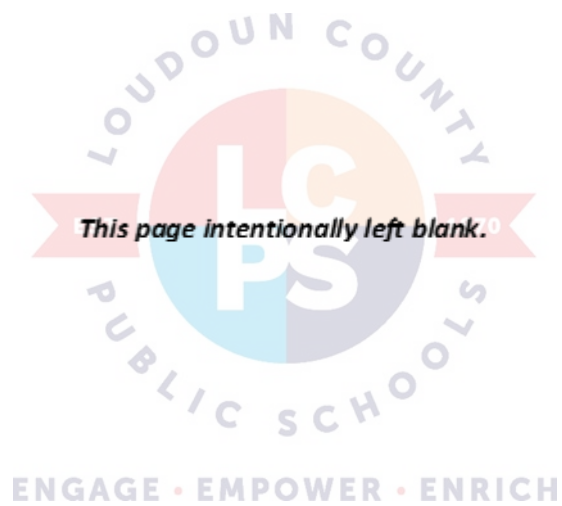
Executive Director

The Government Finance Officers Association established the Distinguished Budget Presentation Awards Program (Budget Awards Program) in 1984 to encourage and assist state and local governments to prepare budget documents of the very highest quality that reflect both the guidelines established by the National Advisory Council on State and Local Budgeting and the GFOA's best practices on budgeting and then to recognize individual governments that succeed in achieving that goal. LCPS has received this

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award for twenty years. During the 2018 Budget process the award qualifications for this specific award no longer pertained to school districts. For the 2021 Budget process schools were able to qualify for this award again.

Government Finance Officers Association of the United States and Canada (GFOA) presented a Distinguished Budget Presentation Award to Loudoun County Public Schools, Virginia, for its FY25 Annual Budget. In order to receive this award, a governmental unit must publish a budget document that meets program criteria as a policy document, as a financial plan, as an operations guide, and as a communications device. This award is valid for a period of one year only. We believe our current budget continues to conform to program requirements, and we are submitting it to GFOA to determine its eligibility for another award.



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The strategic framework displayed below is set forth in School Board Policy 1020.

LCPS Strategic Plan 2022 – 2027 | At A Glance



Our Vision: Every student will reach their full potential and achieve their dreams.

Our Mission: Empowering all students to make meaningful contributions to the world.

Strategic Goals



Students will be at the center of our work – valuing all students' hopes and dreams and preparing them to make meaningful contributions to the world.

GOAL 1: Prepare students to be knowledgeable critical thinkers, communicators, collaborators, creators, and contributors.



LCPS teachers, administrators, and staff are the most important factor in helping our students after their parents; seeing that staff are esteemed, exemplary, supported, and accountable is vital to student success.

GOAL 2: Cultivate high-performing teams of professionals committed to realizing our mission and goals.



LCPS must be aligned around our core educational mission for students and strengthen trust, listen humbly, value differences, and remain steadfast in ensuring every student is prepared to make meaningful contributions to the world.

GOAL 3: Maintain an inclusive, safe, caring, and rigorous learning environment as the foundation for student growth.



Parents, families, and our community must be a support, guide, ally, and partner; there is no one more deeply invested in the success of students than their families.

GOAL 4: Enhance educational excellence through building meaningful relationships with families and the community.

Core Values



HOLISTIC SUPPORT

Every student should have the support to feel safe, happy, and cared for in school.



EQUITY AND OPPORTUNITY

All students and staff should have access to resources, programs, and support that enable a successful future.



TRUST THROUGH LISTENING

All students, staff, and community members should have regular opportunities to be heard in two-way conversations across the division.

RIGOROUS TEACHING AND LEARNING

All students should be challenged to reach their full potential in the classroom as part of a system that aspires to become the best performing district in the nation.



INDIVIDUALIZED SUCCESS

All unique strengths, skills, and passions should be celebrated, encouraging diverse pathways that support readiness after graduation.



CONTINUOUS IMPROVEMENT

A culture of continuous improvement should drive the fulfillment of our mission.



Overview and LCPS Accomplishments

Loudoun County Public Schools (LCPS) is led by Superintendent Dr. Aaron Spence, who conducted the first-ever LCPS Student Success talks, connecting families with LCPS leadership, providing tools for academic, social and emotional student success, and belonging.

In the 2024-2025 school year, more than 80,000 students were enrolled across 98 schools and five non-comprehensive schools in LCPS, and the division employed over 13,000 staff. The division's workplace excellence is recognized by Forbes' list of America's Best-in-State Employers, 2024.

The Washington Post 2025 area awards went to Principal of the Year, Jeff Joseph of Dominion Trail Elementary and Teacher of the Year, Kimberly Poole, at J. Lupton Simpson Middle School.

Students Are Front and Center

The LCPS Class of 2025 graduated 6,932 seniors, with nearly 75% receiving an advanced diploma, almost 24% a standard diploma, and just over 1% an applied studies diploma. Almost 70% of graduates reported they will attend a four-year college, while over 17% will attend a two-year school, and 2% will enter military service. LCPS has a 97.2% on-time graduation rate.

National Merit Scholarship winners included 18 LCPS students for the 2024-2025 school year. Five students won college-sponsored scholarships, eleven were named National Merit \$2,500 Scholarship winners, and two received corporate-sponsored National Merit Scholarships.

Niche's Virginia rankings placed LCPS as the 4th Best School District and the 2nd Best School District for Athletes. Seven high schools are listed in the top 20 in the state, with Independence High School ranked as the #2 best high school in Virginia.

In August, the Virginia Department of Education (VDOE) released the 2025 Standards of Learning (SOL) test results, which showed that for LCPS, SOL proficiency rates have increased or stayed the same in all subject areas. LCPS significantly outpaced Virginia in all five subject areas: English Reading; English Writing; History and Social Sciences; Mathematics and Science.

School and Community Programming

In collaboration with George Mason University and NOVA, LCPS launched the ACCESS Academy at Potomac Falls High School to provide dual-enrollment credits, IT certifications and real-world learning for students pursuing high-demand tech careers.

LCPS expanded programming options that care for students' well-being and academic needs. LCPS will support students in early recovery from substance use disorders with a recovery academy offering academic and therapeutic support. Planning is also underway for the Academy of Global and Linguistic Studies, a future-forward program with pathways in Global Leadership and Global Business featuring immersive Arabic and Mandarin instruction.

The division continues its focus on workforce development and future-ready education, focusing on key industries like cybersecurity, health innovation, and aerospace, by hosting the first LCPS Workforce Summit, bringing together more than 250 community and business leaders.

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In partnership with the Loudoun Education Foundation and Amazon, LCPS launched four new Think Big Corners at elementary schools, bringing hands-on STEM learning directly to students.

Now in its third year, the LCPS Dual Language Immersion program for elementary students starts students off early on a successful path through daily, immersive instruction in English and Spanish. Elementary students build foundational literacy, numeracy and collaboration skills in two languages while embracing the rich diversity of their classrooms.

Engaging with Families

The Division of Family and Community Engagement launched the LCPS Family Academy – a series of free virtual workshops to help families support their students' academic success and navigate and access school division resources empowering families to be partners in their child's education.

The results from the Annual Family Survey, 2025, reveal what happens when LCPS leads with listening, engagement and belonging:

- More families reported feeling empowered to be partners in their child's education.
- Families said LCPS is doing a better job of communicating - especially around clubs, activities and teacher expectations.
- High school parents reported increased confidence that we're preparing their children for life after graduation.
- And most importantly, LCPS saw an increase in families who said their schools feel welcoming, inclusive and respectful of diversity.

Operational Excellence

The FY26 budget focused on three priorities: placing students at the center of our work, recruiting and retaining the best and the brightest, and supporting new and ongoing initiatives. Fully 94.2% of the FTEs in the FY26 budget are school-based and school-facing employees. LCPS has an average cost per pupil of \$23,825.

For the past five years, LCPS has provided educators with funds to set up their classrooms, with first-year teachers eligible for a classroom supply allotment of \$250 and returning teachers eligible to receive a \$100 allotment for supplies.

LCPS has more than 750 buses covering over 500 routes to and from the division's 100 school buildings, logging approximately eight million miles annually to transport students.

LCPS has implemented its first Sustainability Framework, formalizing the division's commitment to environmental responsibility by integrating sustainability into instruction, operations, leadership and long-term planning.

“As superintendent, I want for LCPS students the same thing I want for my own children – for them to feel like they belong, are connected to caring support, and challenged to learn in ways that prepare them for the future. Offering programs that align with their interests and address their needs is paramount to creating classrooms where everyone experiences opportunity and feels like they belong.”

*Aaron Spence, Ed.D.
Superintendent*

FY27 Budget Preparation Process

The Code of Virginia requires that the Division Superintendent submit to the governing body, with the approval of the School Board, an estimate of the funds needed during the next fiscal year for support of the public schools. In Virginia, school divisions are fiscally dependent on the local governing body, which for Loudoun, is the County Board of Supervisors.

The following calendar of events more fully explains the activities that contributed to the budget development and approval process this year:

May – June

- LCPS staff request funding for programs, maintaining facilities and major building improvements.
- Budget Priorities work session with the School Board.

August – September

- Budget instructions are distributed by the Budget and Financial Analytics Division to the Departments to provide guidance for the development of future year budget requests.
- Preliminary staffing standard reviews are held with departments.
- Host budget exercises to solicit input for FY27 investments and priorities.

October – December

- Revised revenue update provided to the School Board.
- Budget requests are received by Budget and Financial Analytics for review and analysis.
- The staffing as of September 30 is analyzed and current year costs for salaries and benefits are used for estimating the future year compensation costs. Salary and benefits represent approximately 90% of the operating budget.
- Staffing standard meetings with departments to finalize staffing for the upcoming year.
- Estimated federal, state and local revenue is developed.
- The Superintendent meets with department and division budget holders to review and modify budget requests.
- Conduct a second budget work session with the School Board to identify priorities and receive early budget guidance.
- The results of these meetings are analyzed and compiled by the Budget and Financial Analytics Division and a draft budget document is prepared for review by the Superintendent and Cabinet.
- Preliminary budget forecast prepared and presented to the School Board.
- The Virginia Governor releases the proposed 2026-2028 Biennium Budget.
- Based on the Superintendent and Cabinet review, the Budget and Financial Analytics Division prepares the SEON, which is the Superintendent's Estimate of Needs to the School Board, for the future budget year.

January

- The Superintendent presents the recommended budgets to the School Board at a public meeting.
- The School Board holds numerous work sessions to review the Superintendent's Estimate of Needs budget.

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- Two public hearings are held to receive input.

February – April

- The School Board deliberates, modifies or approves the Superintendent's recommended budgets by majority vote and adopts its budget.
- The Budget and Financial Analytics Division makes the School Board's revisions to the recommended budget and prepares the School Board's adopted budget.
- The School Board's adopted budget is forwarded to the county staff for inclusion in the County Administrator's advertised fiscal plan.
- The School Board presents its adopted budget to the County Board of Supervisors.
- The state approves the 2026-2028 Biennium Budget, providing direct aid to school divisions.
- The County Board of Supervisors reviews the School Board adopted budget as a part of the County Budget review, holds a public hearing to receive citizens' input, sets the tax rate, and appropriates the budgets for the school system and the County.

May – July

- The School Board reconciles their adopted budget based on the level of funding provided to Loudoun County Public Schools in the appropriations resolution approved by the Board of Supervisors.

FY27 Budget Overview

Loudoun County Public Schools budgets its operations in three categories of funds: general, special revenue and internal service funds. Capital Budget are Governmental Funds adopted separately by the School Board. Funds are established following Governmental Accounting Standards Board rules to separately record and report its financial transactions. Each fund is a self-balancing set of accounts used to track financial activity of a specific revenue or series of revenues.

The chart to the right identifies the relationship between funds and departments.

Departments and certain programs are listed on the left with funds along the top. This identifies which funds Departments use. A department may have financial activity in multiple funds.

Revenues are primarily categorized as either originating from other governmental sources, such as state, federal, local, or charges and fees.

Department	General Fund	Special Revenue Funds			Internal Service Funds	Capital Budgets	
	Operating	Grant	School Nutrition	Lease	Self-Insurance	CIP	CAPP
Academics	x	x					
Business & Financial Services	x		x	x	x		
Capital Projects						x	x
Charter School	x						
Communications and Community Engagement	x						
Digital Innovation	x	x		x			
Human Resources & Talent Dev.	x	x			x		
Non-Departmental	x	x					
School Board	x						
School Leadership	x						
Student Services	x	x					
Superintendent	x	x					
Support Services	x			x			
Teaching and Learning	x	x					

Expenditures are grouped into four main categories throughout the budget book: Personnel, Operations and Maintenance, Capital Outlay and Transfers Out. Further subcategories and definitions are provided below.

PERSONNEL:

Personnel & Fringe Costs: Salaries (both full-time equivalent employees and part-time such as substitutes), social security, retirement, group life insurance and health insurance are the major expenditures in this portion of the budget.

For FY27, the Virginia Retirement System (VRS) rates changed as part of the state budget. The rates included in the FY27 Adopted Budget reflect the employer contributions as provided by VDOE and cover all Plan 1, Plan 2, and Hybrid employees.

For plan year 2027, all employee, employer, and retiree premiums for Health, Dental and Vision Insurance will increase by 20%.

OPERATIONS AND MAINTENANCE:

Contractual Services: The contractual services budget is used to pay outside contractors and other public entities or other school systems for services provided to LCPS. An example is the tuition paid to Fairfax County Public Schools for LCPS students to attend Thomas Jefferson High School for Science and Technology.

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Internal Services: The Self-Insurance Fund accounts for transactions associated with the comprehensive health benefits program, workers' compensation insurance program, and the disability programs.

Utilities and Communication: The utility and communication budget provides for the heating fuel, electricity, water, sewer and telephone services for 100 school buildings, 15 support buildings.

Insurance: Insurance expenditures are for the property, casualty, liability, and fleet insurance carried by the school system.

Materials, Supplies and Equipment: Expenditures include instructional supply allotments to each school, textbooks and minor instructional equipment such as computers, calculators, globes, maps, etc.

Mileage Reimbursement: Mileage for itinerant teachers and other staff who travel on behalf of LCPS.

Training and Continuing Education: Expenditures for training, workshops and conferences.

Leases and Rentals: Lease or rental of heavy equipment needed for maintenance repairs.

CAPITAL OUTLAY:

Capital Outlay: Major equipment purchases that cost in excess of \$5,000; leases for buildings and land, and certain subscription-based information technology assets.

TRANSFERS OUT:

Transfers out: Transfers from the LCPS funds to the Loudoun County government funds.

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FY27 Budget

A summary of the FY27 budget by fund is provided below. Revenues are categorized by source and expenditures by department.

Budget Summary

FY27	General Fund	Special Revenue Funds			Internal Service Fund	Capital Budgets		TOTAL
	Operating	Grant	School Nutrition	Lease Purchase	Self-Insurance	CIP	CAPP	
Revenues								
State	553,013,742	7,462,912	953,185	-	-	-	-	561,429,839
Federal	4,254,374	25,893,883	19,452,924	-	-	-	-	49,601,181
Local	-	1,110,351	-	-	-	-	-	1,110,351
Charges for Services	12,737,188	-	25,678,764	-	329,436,692	-	-	367,852,644
Rebates	-	-	-	-	36,848,946	-	-	36,848,946
Transfers In	1,484,949,364	-	1,598,703	-	-	-	-	1,486,548,067
Debt Proceeds	-	-	-	10,002,000	-	71,170,000	53,130,000	134,302,000
Carry Over	12,000,000	-	-	-	-	-	-	12,000,000
Total Revenues	2,066,954,668	34,467,146	47,683,576	10,002,000	366,285,638	71,170,000	53,130,000	2,649,693,028
Expenditures:								
Academics	13,099,848	3,332,592	-	-	-	-	-	16,432,440
Business & Financial Services	13,217,533	2,520,322	54,569,214	2,000	-	-	-	70,309,069
Capital Projects	-	-	-	-	-	71,170,000	53,130,000	124,300,000
Charter School	8,377,403	-	-	-	-	-	-	8,377,403
Communications & Community Engagement	9,070,338	-	-	-	-	-	-	9,070,338
Digital Innovation	73,248,625	2,546,000	-	7,200,000	-	-	-	82,994,625
Human Resources & Talent Dev.	25,318,548	-	-	-	393,101,955	-	-	418,420,503
Non-Departmental	154,347,480	-	-	-	-	-	-	154,347,480
School Leadership	788,347,478	-	-	-	-	-	-	788,347,478
School Board	1,747,563	-	-	-	-	-	-	1,747,563
Student Services	421,215,873	17,298,574	-	-	-	-	-	438,514,447
Office of the Superintendent	29,228,953	110,540	-	-	-	-	-	29,339,493
Support Services	264,234,703	-	-	2,800,000	-	-	-	267,034,703
Teaching and Learning	265,500,324	8,659,118	-	-	-	-	-	274,159,442
*Total Expenditures	2,066,954,668	34,467,146	54,569,214	10,002,000	393,101,955	71,170,000	53,130,000	2,683,394,983
FTE	13,570.1	192.6	420.0	-	11.5	20.0	-	14,214.2

*Totals may be off due to rounding

EXECUTIVE SUMMARY

The table below shows three years of actual revenue and expenditure activity for all funds. The FY26 Adopted Budget and the FY27 Adopted Budget are shown along with the change between years.

	FY23 Actual	FY24 Actual	FY25 Actual	FY26 Budget	FY27 Budget	Budget Change FY26 to FY27	Percent Change FY26 to FY27
OPERATING FUND							
Beginning Balance	41,909,678	37,712,149	56,283,205	45,441,201	33,441,200	(12,000,000)	-26.41%
Fund Balance Carryover	12,000,000	12,000,000	12,000,000	12,000,000	12,000,000	-	0.00%
Revenue	1,556,633,419	1,664,821,888	1,823,835,724	1,950,144,782	2,054,954,668	104,809,886	5.37%
Expenditures	1,560,830,948	1,646,250,833	1,834,677,728	1,962,144,782	2,066,954,668	104,809,886	5.34%
Ending Fund Balance	49,712,149	68,283,205	57,441,201	45,441,200	33,441,200	(12,000,000)	
GRANT FUND							
Beginning Balance	(684,104)	801,052	813,215	906,800	3,423,910	2,517,110	277.58%
Revenue	50,917,312	41,585,156	40,040,170	32,844,591	34,467,146	1,622,555	4.94%
Expenditures	49,432,156	41,572,993	39,946,585	32,844,591	34,467,146	1,622,554	4.94%
Ending Fund Balance	801,052	813,215	906,800	906,800	3,423,910	2,517,110	
SCHOOL NUTRITION FUND							
Beginning Balance	37,705,812	32,269,895	26,358,846	21,095,071	16,537,234	(4,557,837)	-21.61%
Revenue	40,290,499	42,452,156	43,007,876	48,824,505	47,683,576	(1,140,929)	-2.34%
Expenditures	45,726,417	48,363,205	48,271,651	53,382,342	54,569,214	1,186,873	2.22%
Ending Fund Balance	32,269,895	26,358,846	21,095,071	16,537,234	9,651,596	(6,885,638)	
LEASE PURCHASE FUND							
Beginning Balance	2,551,422	3,582,744	2,682,692	2,813,563	2,813,563	-	0.00%
Revenue	10,174,541	10,261,574	10,302,400	10,002,000	10,002,000	-	0.00%
Expenditures	9,143,219	11,161,626	10,171,529	10,002,000	10,002,000	-	0.00%
Ending Fund Balance	3,582,744	2,682,692	2,813,563	2,813,563	2,813,563	-	
SELF-INSURANCE FUND							
Beginning Balance	40,422,648	36,780,952	20,450,457	17,097,552	(12,546,229)	(29,643,781)	-173.38%
Revenue	248,444,002	263,793,180	312,888,208	292,325,208	366,285,638	73,960,430	25.30%
Expenditures	252,085,698	280,123,675	316,241,113	321,968,989	393,101,955	71,132,966	22.09%
Ending Fund Balance	36,780,952	20,450,457	17,097,552	(12,546,229)	(39,362,546)	(26,816,317)	
CAPITAL PROJECTS FUND							
Beginning Balance	122,087,297	144,503,995	162,712,741	223,642,676	223,642,676	-	0.00%
Revenue	172,807,429	225,586,936	181,345,922	81,760,000	71,170,000	(10,590,000)	-12.95%
Expenditures	150,390,730	207,378,191	120,415,986	81,760,000	71,170,000	(10,590,000)	-12.95%
Ending Fund Balance	144,503,995	162,712,741	223,642,676	223,642,676	223,642,676	-	
CAPITAL ASSET PRESERVATION PROGRAM FUND							
Beginning Balance	28,750,475	30,172,976	41,205,825	37,988,681	37,988,681	-	0.00%
Revenue	27,979,300	43,216,000	50,290,000	48,000,000	53,130,000	5,130,000	10.69%
Expenditures	26,556,799	32,183,152	53,507,144	48,000,000	53,130,000	5,130,000	10.69%
Ending Fund Balance	30,172,976	41,205,825	37,988,681	37,988,681	37,988,681	-	

EXECUTIVE SUMMARY

Operating Fund

The Operating Fund is set to increase by \$104.8 million, or 5.3% above the FY26 Adopted Budget. These changes are categorized as follows and are represented in millions of dollars:

Investing in Our Empowered Students	\$20.2	Significant investments have been made to support our students and staffing adjustments have been made to align with enrollment based on approved staffing standards. Investments include athletic programs, additional math resource teachers, additional funding for CTE course fees, dual language immersion, career IB program, expanded English Learner support, Mandt trainer, expansion of JROTC, performing arts course fee elimination, R.I.S.E. Academy, school-based leadership and to support operational costs in the School Nutrition Fund.
Investing in Our Exemplary Staff	\$78.7	Investments in our staff are being made through salary and benefits adjustments. A cost-of-living adjustment ranging from 4% to 5%, depending on the employee group. All eligible employees will receive a step adjustment or one-time top-of-scale bonus. Additionally, the budget accounts for health, dental and vision insurance premiums that will increase by 20%. Recognizing the importance of supporting employees during times of personal loss, bereavement leave is also included in this budget. Additionally, funding for a review of stipends and reclassification of positions is included.
Investing in Our Enriched School System	\$5.4	Division investments support additional lead head custodians, camera analytics-AI utilization software, removal of credit card fees, enhancing custodial staffing standard resulting for division-wide savings, and providing an additional middle school security officer.
Investing in Our Engaged Community	\$0.5	Additional family liaison and community outreach support.
Total	\$104.8	

EXECUTIVE SUMMARY

Grant Fund

The Grant Fund increases result from a combination of expected increases in local, state and federal grant awards.

School Nutrition Fund

School Nutrition Services is a special revenue fund and should retain no more than 3 months of expenditures in reserve. Student meal prices will remain flat for FY27.

Lease Purchase Fund

The Lease Purchase Fund remains at a flat \$10 million per year funding for capital technology and fleet purchases. For FY27, \$7.2 million is designated for technology and \$2.8 million for fleet vehicles and equipment.

Self-Insurance Fund

The FY27 budget is predominantly comprised of claim expenditures that are projected to increase. Revenues from health insurance premiums will increase due to a 20% rate increase for calendar year 2027 and improving rebate programs.

Capital Improvement Projects (CIP) Fund

The Capital Improvement Projects Fund has funding for VIEW Transition Academy, Visual & Performing Arts Improvements for Middle and High Schools, Fleet Replacement, Technical Security Improvements, CTAE Renovations for Middle and High Schools, Unified Communication System, Replacement of Non-Inclusive Playgrounds and Tennis Court Lighting, High School, and other capital renewals and alterations.

Capital Asset Preservation Program (CAPP) Fund

The Capital Asset Preservation Program Fund will increase by \$5.1m for capital maintenance repairs and replacements.

Note: Loudoun County Public Schools are not permitted to incur long-term debt which includes debt incurred for school division purposes. The county government is responsible for the issuance and maintenance of debt for the school division.

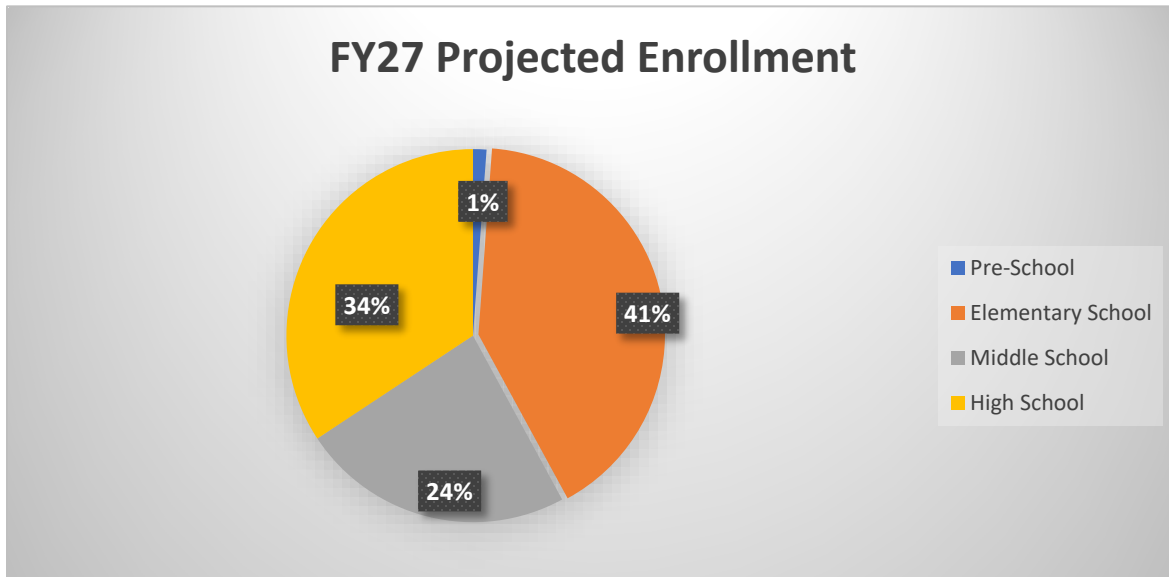
EXECUTIVE SUMMARY

FY27 Enrollment Growth

Loudoun County Public Schools ranks as the third largest of Virginia's 133 school divisions. Between the FY26 Adopted Budget and the FY27 Adopted Budget, student membership is projected to decline by 1,428 students, however, compared to FY26 actual enrollment, this represents a decrease of 316 students, or a 0.4% decline. In FY27, the average cost per student for personnel, employee benefits, and materials to provide school-level instructional and support services is anticipated to be \$25,490.

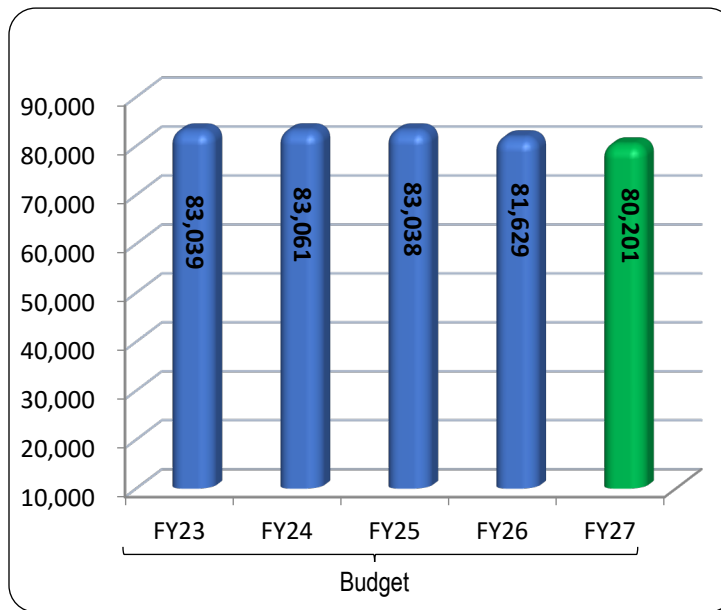
Student Membership

	FY26 Adopted	FY26 Actual	FY27 Adopted	FY26 Actual to FY27		FY26 Budget to FY27	
				Change	Percent	Change	Percent
Pre-School	958	932	934	2	0.2%	(24)	-2.5%
Elementary School	33,767	33,165	32,803	(362)	-1.1%	(964)	-2.9%
Middle School	19,129	19,049	18,956	(93)	-0.5%	(173)	-0.9%
High School	27,775	27,371	27,508	137	0.5%	(267)	-1.0%
Total	81,629	80,517	80,201	(316)	-0.4%	(1,428)	-1.7%

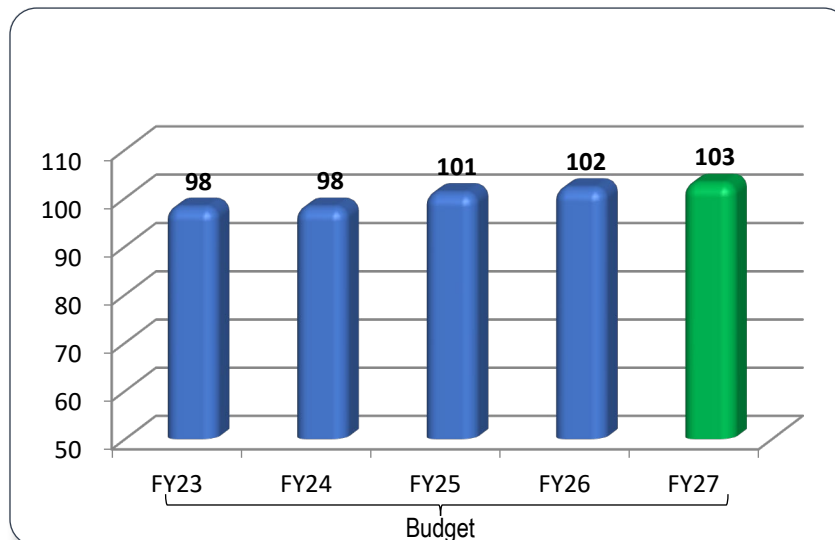


EXECUTIVE SUMMARY

Historical student enrollment is displayed in the following table.



The following table captures LCPS schools and non-comprehensive programs. The addition of new schools and non-comprehensive programs is one driver of cost per pupil increases.



EXECUTIVE SUMMARY

Staffing (Operating and Grant Funds)

All LCPS positions fulfill roles that are necessary to the delivery and support of the school division's educational mission. LCPS uses the Washington Area Boards of Education (WABE) Guide to determine positions as either school-based or non-school-based. A benchmark comparison of participating WABE Guide school divisions is in the table below. LCPS maintains one of the highest percentages of school-based staffing in the region.

**LCPS FY27
Adopted staffing is
94.2% School
Based and School
Facing**

FY26 Surrounding School Division Comparison*		
School Division	Percentage School Based Employees	Percentage Non-School Based Employees
Fairfax	92.5%	7.5%
Loudoun	91.7%	8.3%
Arlington	91.7%	8.3%
Prince William	90.3%	9.7%
Alexandria	90.2%	9.8%

Source: FY2026 Washington Area Boards of Education (WABE) Guide

*WABE Guide excludes bus drivers and bus attendants for calculation of the school based/non-school based percentages and may not match prior year.

And while the vast majority of LCPS FTEs are school-based, LCPS further identifies some non-school-based positions (per the WABE Guide) as school-facing. School-facing roles are those that do not have a formal assignment at a specific school or schools but still spend most of their time at schools working directly with instructional staff and students. Examples include instructional facilitators, instructional coaches, and regional school security officers. The following table shows the adopted staffing and the prior two years' staffing for Operating Fund and Grant Fund positions with the school-facing designation included.

Position	FY25	FY26	FY27
School-Based and School-Facing			
Total School-Based FTEs	12,105.3	12,455.7	12,493.2
Total School-Facing FTEs	398.0	448.0	466.5
Non-School-Based			
Total Non-School-Facing FTEs	777.5	791.0	803.0
Total FTEs	13,280.8	13,694.7	13,762.7
Total Student Enrollment	83,038	81,629	80,201

Cost Per Pupil

The per pupil expenditure is calculated annually using the total General fund and Grant fund budget, less adult education, self-funded summer school, and health services. The total amount is divided by the student enrollment as of September 30 to determine an average per pupil cost for the current fiscal year and adopted enrollment for the next fiscal year.

The calculated per pupil cost for FY27 is shown below.

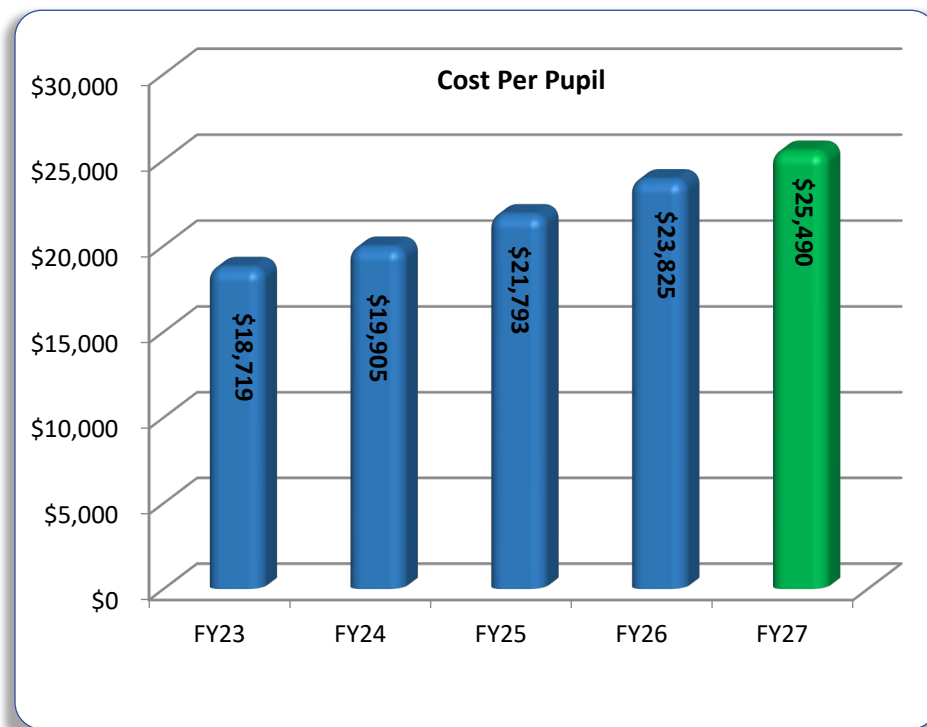
<i>FY27 Budgeted Cost Per Pupil</i>	
State Category	Amount
Instruction	\$19,900
Operation & Maintenance	2,189
Pupil Transportation	1,201
Administration, Attendance, & Health	1,202
Technology	903
Facilities	95
FY27 Cost Per Pupil	<u>\$25,490</u>

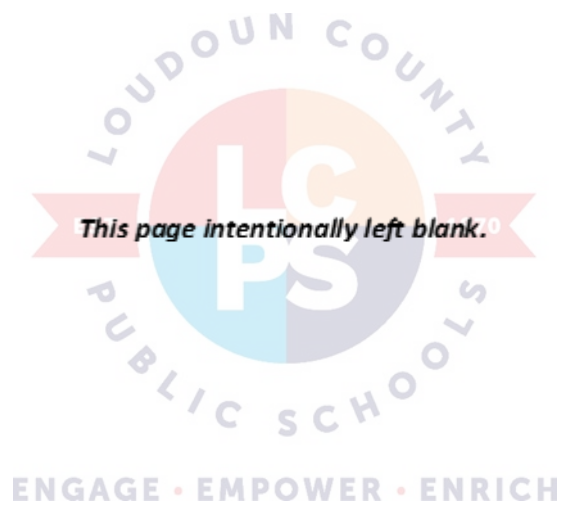
The table below shows the previous two years per pupil expenditures for Northern Virginia school divisions.

<i>FY25 & FY26 Per Pupil Expenditure Comparison</i>		
	FY25	FY26
Arlington	\$25,175	\$25,406
Alexandria	\$21,769	\$22,242
Fairfax	\$20,940	\$21,986
Loudoun	\$21,793	\$23,825
Prince William	\$18,069	\$20,223

Source: FY 2026 Washington Area Boards of Education (WABE) Guide

The chart below shows the change in cost per pupil since FY23. For FY27, the cost per pupil increases 6.9% to \$25,490.







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